

694a99ab1267cc03a6f4

So, the next time you're comparing passive funds, don't just focus on the expense ratio. Look at the tracking difference. It gives you a much clearer picture of how well the fund is actually doing its job.

Remember, you want a fund that's both cost-effective and efficient in following the index. That's the golden ticket to passive investing success!

c. How to Select a Debt Fund?

Moving on to the last type of scheme, i.e. a Debt Fund Scheme.

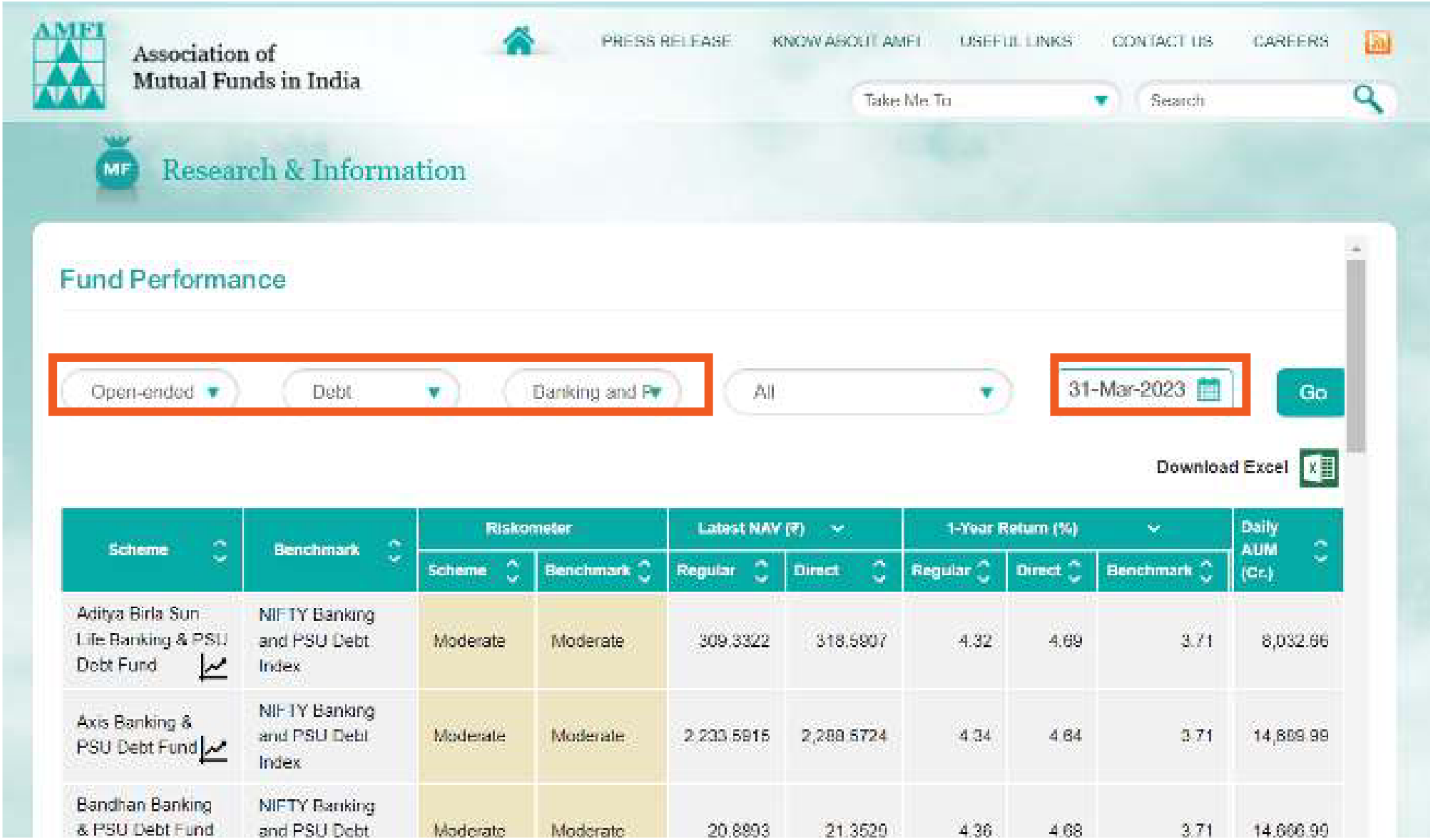
For Debt Funds, I have assumed that the purpose of investment is **to minimize risk and protect capital**. But that doesn't mean that there aren't riskier options available in debt funds. However, analyzing them is a different ball game altogether and can get rather complicated, hence they have not been covered in the book.

So, keeping that in mind, these are the following steps for selection.

Step 1: Filter by AUM and Operating History

Choose funds with an AUM (Assets Under Management) of more than 1,000 crores, verified through AMFI. Ensure a minimum operating history of 10 years.

Say we're looking at **banking and PSU debt funds**. We use the AMFI scheme performance data to collect the data.



AMFI Association of Mutual Funds in India

Research & Information

Fund Performance

Open-ended Debt Banking and PSU All 31-Mar-2023 Go

Download Excel

Scheme	Benchmark	Riskometer		Latest NAV (₹)		1-Year Return (%)			Daily AUM (Cr.)
		Scheme	Benchmark	Regular	Direct	Regular	Direct	Benchmark	
Aditya Birla Sun Life Banking & PSU Debt Fund	NIFTY Banking and PSU Debt Index	Moderate	Moderate	309.3322	318.5907	4.32	4.69	3.71	8,032.66
Axis Banking & PSU Debt Fund	NIFTY Banking and PSU Debt Index	Moderate	Moderate	2,233.5915	2,289.5724	4.34	4.64	3.71	14,889.99
Bandhan Banking & PSU Debt Fund	NIFTY Banking and PSU Debt	Moderate	Moderate	20.8903	21.3520	4.36	4.68	3.71	14,606.99

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.